In the event, the Indian basket crude oil was $107.52 per bbl (April-December) in 2012 and even with the pass through effected in the course of the year, under-recoveries of OMCs surged and were estimated at Rs. 1,24,854 crore during April-December 2012-13. As the bulk of the under-recoveries is accounted for by two subsidised products, viz. **diesel** and **LPG**, the government raised diesel prices by Rs. 5 per litre and capped the subsidised cylinders at *six* per connection per year in September 2012. With continued rise in prices, on ***January 17, 2013*** the government further permitted OMCs to raise *diesel prices* in small measures periodically. However, in order to protect household budgets, it simultaneously raised the annual LPG cap from *six to nine* cylinders per connection.

The high level of global crude oil prices also has a significant bearing on the level of **fertilizer** subsidies because it is not only a key input as feedstock, but also because there is inadequate pass through in urea (the major domestic fertilizer) prices. Subsidy on fertilizers had increased substantially from Rs. 32,490 crore in 2007-08 to reach Rs.60,974 crore in 2012-13 (RE). The government has been calibrating pricing policies to address the issue of burgeoning fertilizer subsidies. One of the important decisions taken was to fix per tonne subsidy on key non-nitrogenous fertilizers, thereby limiting the increase in subsidy outgo to the extent of increase in consumption.

Another major subsidy outgo in recent years, growing at an annual average rate of 25.4 per cent in the last five years ending 2011-12, is on account of **food**. While the targeted public distribution system (TPDS) accounts for the bulk of the food subsidy outgo, there are other welfare schemes under which food subsidy is provided. A part of the subsidy outgo also owes to the carrying cost of the *buffer stock*, which has mounted in recent years. In terms of the merits of subsidisation, priority needs to be accorded to food subsidy in view of the under-consumption of basic food by the poor and the extent of malnutrition in the country. The government has sought to correct this through the National Food Security Act, though concerns have been expressed that this will lead to a higher subsidy outgo. However, it is a part of the challenge of *prioritisation* to provide for this basic minimum need even as other items of expenditure are minimized. Further, there is need for